WELLS FARGO
INVESTMENT INSTITUTE

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

What if the Fed Doesn't Hike This Week?

December 19, 2018

Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index: -1.3%

Key takeaways

- *The stock market, in our opinion, is expecting the Federal Reserve (Fed) to boost the fed fund target rate range this week.*
- *Equities would likely not respond well to a surprise pause at the December meeting.*

A quick glance at the fed funds futures market on this strategist's Bloomberg terminal shows that traders put the probability of a Fed rate hike at this week's meeting on Tuesday and Wednesday at a touch more than 67%. We think it is safe to say that the stock market expects the Fed to move the target range up 0.25% to 2.25%-2.5%. And while the S&P 500 is currently at levels that we consider below "fair value," this likely rate hike has already been priced in by investors. So what gives with the recent downside volatility?

Recall that when Fed Chair Jay Powell spoke to the Economic Club of New York back on November 28, equity investors considered his tone as being quite "dovish." That means his comments were interpreted as implying that our central bankers may decrease the magnitude of rate increases going forward. Some speculated that the Fed might even "pause" the hiking process at some point in early 2019. That's what investors wanted the Fed chair to say. As a result, in the wake of those comments, all of the domestic equity indices finished the day with large gains. For example, the S&P 500 Index ended the day up 2.3%. And yes, as you look at your calendar, the chairman spoke only three short weeks ago. Psychology can indeed change quickly in the stock market.

Our Fixed Income team believes we will see a rate hike this week. The Equity Strategy team certainly agrees. And as stated, in our opinion, the stock market fully expects to see the target rate lifted. But some in the financial media and other market pundits are speculating that the Fed will not raise rates this week. Some of the recent economic data, particularly on the global front, have fallen short of expectations and have ratcheted up fears of a meaningful slowdown in 2019. That, however, is not our base case as we expect solid economic growth here at home and good growth abroad.

But one of the questions we have received most frequently over the last week or so concerns the possibility that our central bankers will hold the fed funds target rate steady this week. Basically, investors want to know if that would that be good or bad for stocks. Many investors feel that the stock market, in the very near term, would react positively if the Fed takes no action. They think about the upside response to Chairman Powell's softer tone three weeks ago. However, we are not so sure a positive reaction would be the outcome.

Do equity investors want the Fed to ease up on the pace and magnitude of interest rate hikes? You bet they do—in 2019. But the likely interpretation to a pause in the rate hiking process this week could easily be viewed as the Fed seeing something worrisome in the economic data that has escaped the attention of most investors. Jay Powell and company have guided the markets to expect a December increase in the target rate.

Most market participants are largely convinced that a hike is at hand. An unexpected pause this week would likely send the wrong signal. Instead, the stock market wants to hear that the previously hinted magnitude of hikes next year will fall.

Investment and Insurance Products: ▶ NOT FDIC Insured ▶ NO Bank Guarantee ▶ MAY Lose Value

© 2018 Wells Fargo Investment Institute. All rights reserved.

Risks Considerations

Each asset class has its own risk and return characteristics. The level of risk associated with a particular investment or asset class generally correlates with the level of return the investment or asset class might achieve. **Stock markets**, especially foreign markets, are volatile. Stock values may fluctuate in response to general economic and market conditions, the prospects of individual companies, and industry sectors. **Bonds** are subject to market, interest rate, price, credit/default, liquidity, inflation and other risks. Prices tend to be inversely affected by changes in interest rates.

An index is unmanaged and not available for direct investment.

General Disclosures

Global Investment Strategy (GIS) is a division of Wells Fargo Investment Institute, Inc. (WFII). WFII is a registered investment adviser and wholly owned subsidiary of Wells Fargo Bank, N.A., a bank affiliate of Wells Fargo & Company.

The information in this report was prepared by Global Investment Strategy. Opinions represent GIS' opinion as of the date of this report and are for general information purposes only and are not intended to predict or guarantee the future performance of any individual security, market sector or the markets generally. GIS does not undertake to advise you of any change in its opinions or the information contained in this report. Wells Fargo & Company affiliates may issue reports or have opinions that are inconsistent with, and reach different conclusions from, this report.

The information contained herein constitutes general information and is not directed to, designed for, or individually tailored to, any particular investor or potential investor. This report is not intended to be a client-specific suitability analysis or recommendation, an offer to participate in any investment, or a recommendation to buy, hold or sell securities. Do not use this report as the sole basis for investment decisions. Do not select an asset class or investment product based on performance alone. Consider all relevant information, including your existing portfolio, investment objectives, risk tolerance, liquidity needs and investment time horizon.

Wells Fargo Advisors is registered with the U.S. Securities and Exchange Commission and the Financial Industry Regulatory Authority, but is not licensed or registered with any financial services regulatory authority outside of the U.S. Non-U.S. residents who maintain U.S.-based financial services account(s) with Wells Fargo Advisors may not be afforded certain protections conferred by legislation and regulations in their country of residence in respect of any investments, investment transactions or communications made with Wells Fargo Advisors.

Wells Fargo Advisors is a trade name used by Wells Fargo Clearing Services, LLC and Wells Fargo Advisors Financial Network, LLC, Members SIPC, separate registered broker-dealers and non-bank affiliates of Wells Fargo & Company. CAR 1218-02593

© 2018 Wells Fargo Investment Institute. All rights reserved.